

Addressing income and wealth inequality

Income and wealth

You need to be aware of the difference between income and wealth. Income is the reward for the services of a factor of production (see Section 3.1). For labour, income is paid in wages, salaries and bonuses. For other factors of production, income takes the form of rent, interest and profits.

Income is a flow concept. This is because the returns to the various factors of production are variable over any given period of time. Wealth describes the stock of assets that someone has built up over time, for example businesses, property, shares, gold and antiques. These assets are there to provide security and in some cases, an income stream for the future.

Table 14.1 shows the wealth that had been accumulated by 2019 by the top three wealthiest people in China, India and Malaysia.

As you can see from Table 14.1, most of the wealth has come from firms. This is different from some high-income countries, such as the UK and the countries of the European Union, where much of the wealth has been inherited from past generations of families.

TIP

Wealth is often wrongly used to mean income. Remember that wealth is a stock of assets that have been built up often over a long time period. Income is a flow of payments to factors of production over a given time period.

Rank	Country/Name	Estimated wealth (in \$ billion)	Source of wealth or company
China			
1	Jack Ma	38.2	e-Commerce
2	Ma Huateng	36.0	Internet media
3	Hui Ka Yan	27.7	Real estate
India			
1	Mukesh Ambani	51.4	Reliance Industries
2	Gautam Adani	15.7	Adani Ports & SEZ
3	Hinduja brothers	15.6	Ashok Leyland
Malaysia			
1	Robert Kuok	12.8	Palm oil, shipping, banking
2	Quek Leng Chan	9.4	Banking, property
3	Teh Hong Piow	6.7	Banking

Table 14.1: Asian billionaires, 2019 (estimates)

Measuring income and wealth inequality

The Gini coefficient is a numerical measure of the extent of income inequality in an economy. If the income distribution in an economy is equal, the Gini coefficient will have a value of 0. At the other extreme, if all income accrues to just one person, then the Gini coefficient will be 1. Both extremes do not occur in the real world. The norm is for Gini

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coefficients to be somewhere between the values of 0 and 1. A Gini coefficient of 0.3 therefore indicates a more equal distribution of income than a coefficient of 0.5. Table 14.2 contains some examples from various types of economy. (The data in this table is shown as percentages: 100% represents full inequality).

Low income economies	Emerging economies	Developed economies
Lesotho 63.2%	China 46.5%	Hong Kong 53.9%
South Africa 62.5%	Malaysia 46.2%	USA 45.0%
Nigeria 48.8%	Indonesia 36.8%	Russia 41.2%
Kenya 48.5%	Mauritius 35.9%	New Zealand 36.2%
Sri Lanka 39.2%	India 35.2%	UK 32.4%
Bangladesh 32.1%	Pakistan 30.7%	Australia 30.3%

Table 14.2: Selected Gini coefficients (various dates), shown as percentages (100% equals total inequality)

Economic reasons for inequality of income and wealth

Economists agree that inequality of income and wealth acts as a barrier to economic growth and development. There are many reasons for this inequality, some economic, others social, cultural and political. Below are some economic reasons for inequality:

- A lack of formal employment opportunities, particularly for young people, but also for those with professional skills
- Poor vocational training, which means that local industries cannot obtain the labour needed to maintain a viable operation in national and international markets
- A lack of investment in the education and health sectors, which holds back human capital needed to promote economic growth
- Poor infrastructure such as roads, railways, power and water supplies
- A low rate of savings, which holds back private and public sector investment
- The inability of many people to obtain credit to fund small businesses and improved personal education.

Policies to redistribute income and wealth

Governments may use a range of policies to reduce inequality in the distribution of income and wealth. Most governments seek to reduce income inequality; there may also be policies to redistribute wealth. Many of the policies depend on funds generated from tax revenue for their implementation and regulation.

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The collection of taxes causes serious difficulties in most low-income countries and many middle-income countries, where the informal economy is huge with only a very small percentage of the population paying direct as opposed to indirect taxes. Corruption and tax evasion (where people deliberately do not pay tax) are also commonplace. This hinders the ability of governments to successfully implement policies that redistribute income and wealth.

Minimum wage rates

A minimum wage rate is a legal requirement of what employers must pay an employee per hour. It is a rate before tax and any social security deductions are made.

It is now widely applied in many economies (see Figure 14.2). Employers who do not pay the legal minimum wage rate can be fined or face other forms of penalty.

Introducing a minimum wage can reduce poverty in all economies. The problem for most low-income and lower middle-income countries is that the legislation might only apply to a minority of poorly paid workers. This is because the legislation would not have any impact in the large informal sectors that are prevalent in these economies. Also, a minimum wage rate has no relevance where workers are self-employed or run small businesses staffed by family members.

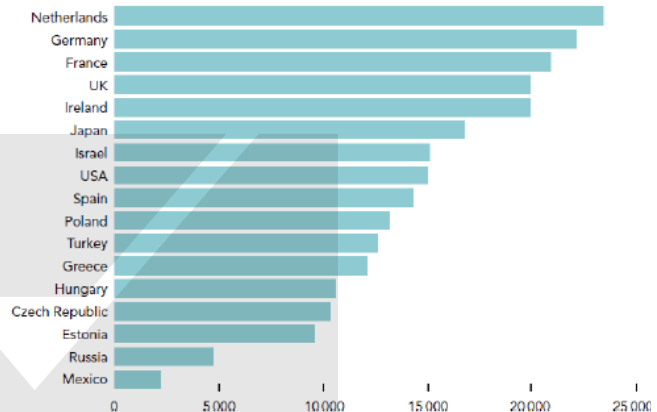


Figure 14.2: Minimum wage (annualised) in selected countries (wages in 2018 \$, PPP)

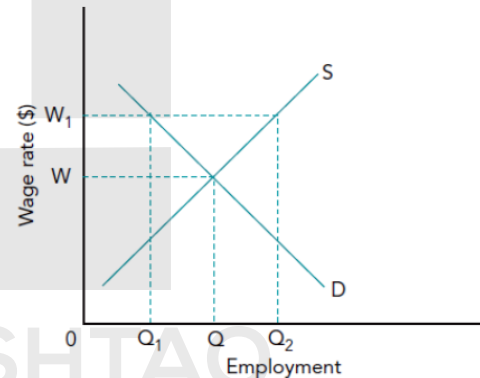


Figure 14.3: Effects on introducing a minimum wage

In 2019, South Africa introduced a minimum wage rate of R20 per hour, reduced to R18 for farm workers and to R15 for domestic workers. It was estimated that 47% of workers were being paid below this threshold.

Critics of a minimum wage policy argue that its introduction leads to unemployment. This argument is shown in Figure 14.3. The equilibrium wage rate is w . Introducing a minimum wage rate increases the wage rate to W_1 . At this higher wage rate, employers will only employ Q_1 workers yet Q_2 workers are willing to work. Those who are employed will get

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more pay but at the cost of fewer jobs being available. This unemployment is shown by Q1 to Q2 in Figure 14.3.

Transfer payments

A transfer payment is a payment from tax revenue that is received by certain members of the community. These payments are not made through the market, as no production takes place. Their function is to provide a more equitable distribution of income. The main recipients are vulnerable groups such as the elderly, the disabled, the unemployed and those on the lowest incomes. Payments tend to transfer income from those able to work and pay taxes to those unable to work or in need of assistance. Examples of transfer payments include:

- old age pensions
- unemployment benefits
- housing allowances
- food coupons
- child benefits.

The extent to which transfer payments can be paid is dependent on how much tax is collected and how many people have paid tax. In low income and lower middle-income countries, this is affected by all sorts of problems. For example, Pakistan has a growing elderly population, yet it has a low tax base. Pension and social security coverage is limited to the formal sector and therefore only covers a small percentage of the population. Those who work or who have worked in the informal sector are not covered by these schemes. Similar arrangements apply in India although a higher proportion of the population is eligible for help. In Bangladesh, there is little or no provision of assistance, even for government workers.

The effect of transfer payments on the market is a controversial issue. It is clear that in most cases they are necessary to protect the most vulnerable groups in the community. Transfer payments result in less poverty and provide for a more equitable distribution of income. The opposing argument is that unemployment benefits and benefits to those on the lowest incomes can act as a disincentive to accepting work, so increasing the unemployment rate. As a consequence, output in the economy is less than it might be and there is a form of inefficiency.

Progressive income taxes, inheritance and capital taxes

The tax system can be used in order to reduce inequalities in income and wealth. This is specifically through the use of progressive taxes. The best example is a progressive income tax whereby those earning higher incomes are taxed a higher rate or percentage

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of their income than those on lower incomes. In some economies, the top rate of income tax might be as high as 80% compared to lower rates of 40% and 20%. In this way, income differentials are reduced. Most income tax systems are similar to this example and are therefore progressive in nature. The average rate of tax rises as people earn higher incomes. However, the main problem is that for some people, the result is a disincentive to work and possibly even to live in a high taxation regime. For tax reasons, they may seek to move to a country that has a more favorable tax regime.

Taxes can also be imposed to reduce wealth inequalities. One example is inheritance tax. Individuals who inherit more than a certain amount of wealth have to pay some of the value of that wealth in tax to the government. Another similar example is that of capital tax, whereby a tax is payable on the financial gain a person may have made in the time that an asset, such as property or a financial portfolio, has been owned. The overall impact of such measures is relatively small.

TIP

When explaining a progressive tax, be careful to talk about an increasing rate of taxation as income rises. A common mistake is to define a progressive tax as one where taxes increase as incomes rise.

State provision of essential goods and services

A further way of reducing inequalities in society is for the government to provide certain important goods and services, often free of charge to the user. Such services are financed through the tax system. If the goods and services are used equally by all citizens, then those on lowest incomes gain most as a percentage of their income. Inequality is therefore lowered.

The two main examples of free provision in many economies are health care and junior and secondary education. These markets are characterized by various market failures. However, the failures do not justify free provision to the consumer. The justification must be on the grounds of equity. The view is that everyone should have access to a certain level of health care and education regardless of income and wealth. Therefore, these services are provided universally free: they are the material equivalent of monetary universal benefits. Governments also provide goods to support those on low incomes. This provision could consist of food and other essentials items, water and in some cases, housing. Like health and education, the justification is on equity grounds.